

Destiny Strategy

How it works, with worked examples

A one-trade-a-day NIFTY options strategy driven by two levels you choose: a **Resistance (R)** and a **Support (S)**.

In one paragraph. You give the strategy two price levels. When NIFTY touches Resistance (R) it buys a Put (PE); when NIFTY touches Support (S) it buys a Call (CE). It takes at most **one trade per day**, protects it with a fixed stop-loss, takes profit at a target (optionally letting winners run with a *ratchet*), and closes anything still open at square-off time.

1. The idea

- **Resistance (R)** is a level above the market where you expect price to stall and fall. Reaching it -> buy a **Put (PE)**.
- **Support (S)** is a level below the market where you expect price to bounce. Reaching it -> buy a **Call (CE)**.
- All risk and reward is measured in **option premium points** (the option's price), not NIFTY points.
- Profit or loss per trade = **premium points gained or lost x quantity**. One lot is 65 units, so +30 premium points on 1 lot = +Rs. 1,950.

2. The settings (Settings -> Strategy)

Setting	What it does	Typical value
Resistance (R)	NIFTY level that triggers a Put (PE) entry. Can be switched off with its Enabled checkbox.	e.g. 23,200
Support (S)	NIFTY level that triggers a Call (CE) entry. Can be switched off with its Enabled checkbox.	e.g. 23,100
Lot Size (Lots)	Number of lots to trade. 1 lot = 65 units.	1 - 2
Target Points	Premium gain that counts as the target.	30
SL Points	Premium loss that stops the trade out.	30
Dynamic Squareoff	Time at which any open trade is closed.	15:20
Ratchet Step (<i>optional</i>)	Blank = exit flat at target. A number turns on the ratchet: lock profit at target, then keep raising the floor by this step.	blank, or 10
No Entry Time (<i>optional</i>)	No new trades from this time on. Blank = default cutoff (15 min before square-off, never after 14:30).	14:30
Paper / Live	Paper simulates every order locally. Live places real orders through Zerodha Kite.	Paper first

3. A day in the life of the strategy

Time (IST)	What happens
Before the open	You set R and S (or an admin syncs them). The strategy is started and watches NIFTY live.
During the day	On every NIFTY price update the engine checks: open trade -> exit rules; no trade yet -> entry rules.
Entry cutoff	No new trades after your No Entry Time (default: 15 min before square-off, never after 14:30).
Square-off (15:20)	Anything still open is closed at the market, reason SQUAREOFF .
After a TARGET exit	The option stays subscribed so its post-exit high/low can still be recorded for review.

4. Entry: how a trade starts

The strategy needs a **crossover** of the level, not just being near it:

- **Resistance (Put)**: the previous NIFTY price was **below R** and the new price is **at or above R**.
- **Support (Call)**: the previous NIFTY price was **above S** and the new price is **at or below S**.
- If the strategy starts and NIFTY is *already beyond* a level on its first price, it enters straight away.
- Only one trade per day in total, and only one open position at a time.

Which option contract is bought

- **ATM strike** = NIFTY rounded to the nearest 50 (23,186 -> 23,200; 23,162 -> 23,150).
- **Put (PE) = ATM + 50** and **Call (CE) = ATM - 50**: slightly out-of-the-money, in the direction you expect to profit.
- **Expiry**: the nearest weekly expiry (Tuesday). On expiry day itself it rolls to next week's contract.

Worked example: entry

	Put (Resistance)	Call (Support)
Levels	R = 23,200	S = 23,100
Price move	23,190 -> 23,201 (crosses up through R)	23,110 -> 23,099 (crosses down through S)
ATM strike	23,201 rounds to 23,200	23,099 rounds to 23,100
Contract bought	PE 23,250 (ATM + 50)	CE 23,050 (ATM - 50)
Entry premium (example)	Rs. 100	Rs. 100
Stop-loss / target set	SL = 100 - 30 = 70 ; Target = 100 + 30 = 130	SL = 70 ; Target = 130

The stop-loss and target are fixed from the **actual fill price**, so a fill of 98 gives SL 68 and target 128.

5. Exits: stop-loss and target

Exit checks run on every price update while a trade is open. Exits are **market orders**. The examples below use entry = 100, SL = 30 points, target = 30 points, quantity 65 (1 lot).

5a. Stop-loss (always on)

If the option premium falls to the SL price (**70**) or below, the trade is closed as **SL**. The SL is a fixed floor set at entry and never moves.

Example - stopped out. Put bought at 100 on the R crossover. NIFTY keeps rising, so the Put loses value: 90 ... 78 ... 69. At 69 the SL is hit and the trade exits. Loss = $(69 - 100) \times 65 = \text{-Rs. 2,015}$ (about 30 points; the real fill can land slightly past 70).

5b. Target with Ratchet Step blank (flat exit)

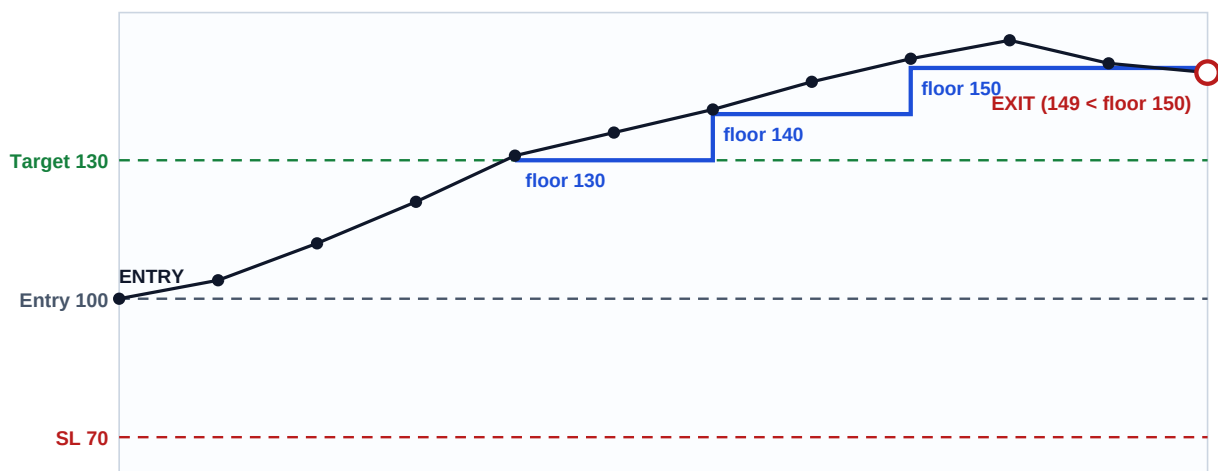
The first time premium reaches the target (**130**) the trade is closed as **TARGET**. Target is checked before SL. Simple and predictable: profit is capped at the target.

Example - flat target. Call bought at 100 on the S crossover. NIFTY bounces and the Call climbs to 131. Exit at about 131 as **TARGET**. Profit = $(131 - 100) \times 65 = \text{+Rs. 2,015}$. If the Call would have run to 160, that extra profit is left on the table.

5c. Target with Ratchet Step set (let winners run)

With a Ratchet Step (say **10**), reaching the target does **not** exit. Instead:

- **Arm:** the first time premium reaches 130, that price is locked as a **floor** (130). The trade keeps running.
- **Climb:** every further +10 raises the floor by 10 (140, 150, 160 ...). The floor never goes down.
- **Exit:** the trade closes as **TARGET** only when premium drops **below the current floor**.
- **SL stays:** the fixed SL at 70 is checked first on every update and still wins any same-update race.



Premium path in the chart: 100, 104, 112, 121, **131** (arms floor 130), 136, **141** (floor 140), 147, **152** (floor 150), 156, 151, **149** (below 150 -> exit).

Premium	What the strategy does	Floor after
104 / 112 / 121	Below target. Nothing happens; SL (70) is still the only protection.	none
131	Target reached. Arm: lock 130, do not exit.	130
136	Not yet +10 above the floor. Hold.	130
141	At least floor + 10 (140). Raise floor.	140

Premium	What the strategy does	Floor after
147	Hold.	140
152	At least 150. Raise floor.	150
156, 151	Both at or above the floor. Hold.	150
149	Below floor 150 -> exit as TARGET . Live fill is about 149.	150

Result of this trade. Exit about 149: $(149 - 100) \times 65 = \text{+Rs. 3,185}$. A flat exit would have taken +30 points = +Rs. 1,950, so the ratchet earned an extra Rs. 1,235 here. In the backtest the same trade fills at the floor itself (150): +Rs. 3,250.

The ratchet trade-off

Example - touch and reverse. Premium reaches 130 (floor locks at 130) and then falls straight back to 129. With the ratchet the trade exits at about 129 = +Rs. 1,885, slightly *less* than the flat exit's +Rs. 1,950. That small give-back is the price of letting strong moves keep running. After arming, the worst case is roughly the last locked floor.

6. Square-off, cutoff and the one-trade rule

Square-off

At the Dynamic Squareoff time (default **15:20**) any open trade is closed at the market as **SQUAREOFF**, whether it is in profit or loss. This applies with or without a ratchet.

Example. A Put is open and premium is 112 at 15:20. It is closed at about 112 as SQUAREOFF: $(112 - 100) \times 65 = \text{+Rs. 780}$. Neither SL nor target was hit.

Entry cutoff

New trades stop at your **No Entry Time**. If you leave it blank the default applies: 15 minutes before square-off, and never after 14:30. The cutoff only blocks *new* entries; an open trade keeps following its exit rules until it closes.

One trade per day

Once a trade is entered, the day's single trade is used up - on *either* side. After it exits there are no more entries that day.

Example. A Put is stopped out at 10:15. At 13:00 NIFTY falls to Support. The strategy does **not** buy a Call: the day's trade was already taken.

7. Running with only one level

Each level has an **Enabled** checkbox in Settings. Turn one off and that side never enters, so you can trade only Resistance or only Support. At least one must stay on. On the dashboard a switched-off side reads **Disabled**.

Resistance	Support	Behaviour
Enabled	Enabled	Either side can trigger; the first crossover takes the day's trade.
Disabled	Enabled	Crossing R is ignored. Only a Support crossover (Call) can trade.
Enabled	Disabled	Crossing S is ignored. Only a Resistance crossover (Put) can trade.
Disabled	Disabled	Not allowed - the app rejects it, because the strategy could never trade.

Disabling a side only stops new entries. It never changes how an already-open trade exits. An admin's global level sync updates the level numbers but keeps each user's own Enabled choice.

8. Backtest vs live: what to expect

	Live trading	Backtest
Fill price	Actual market price when the update is processed; can land slightly past the line (slippage).	Exactly the SL / target / floor line that was crossed.
Price updates	Many per second.	One per minute. A big minute can climb several ratchet steps at once.
Option price	Real option price from Kite.	Real recorded Kite prices when saved for that day, otherwise a Black-Scholes estimate (Model IV %). Each trade is tagged REAL or MODEL.
Trades per day	1	1

Server restarts. The ratchet's floor is not saved to the database. If the server restarts while a trade is riding, the trade comes back with the floor unarmed (SL and target are recomputed from the entry price, so the SL stays safe, but a floor that had climbed to 150 would be lost). Avoid restarting while a trade is open.

9. Quick reference

Question	Answer
When does it buy a Put?	NIFTY crosses up through Resistance (R), if R is enabled.
When does it buy a Call?	NIFTY crosses down through Support (S), if S is enabled.
Which option?	PE = ATM + 50, CE = ATM - 50, nearest weekly expiry (rolls on expiry day).
Stop-loss?	Fill - SL Points, fixed. Always checked first.
Target, ratchet blank?	Fill + Target Points, exit flat on first touch.
Target, ratchet set?	Lock the floor at target, raise it every Ratchet Step, exit below the floor.
Latest it can enter?	Your No Entry Time (default: 15 min before square-off, never after 14:30).
When does it force-close?	Dynamic Squareoff time (default 15:20).
How many trades a day?	One.
Profit / loss?	Premium points gained or lost x quantity (1 lot = 65).

All prices and results in this guide are illustrative examples to explain the rules, not forecasts or advice. Options trading involves risk of loss; test in Paper mode first.